Article | 3 June 2026

# A rate hike and then what? Our ECB preview

With a rate hike looking like a done deal, all focus will be on whether the ECB gives any guidance on what will happen beyond next week's meeting

Christine Lagarde, President of the ECB, which is likely to hike rates next week

Anything but a rate hike at the 11 June ECB meeting would be a big surprise. The ECB is not facing a textbook case of de-anchoring inflation expectations (yet) but rather the expected scenario of increasing actual headline inflation, with higher energy prices showing knock-on effects on other parts of the economy. At the same time, however, actual headline inflation developments are still broadly in line with the ECB's March projections, while core inflation has turned out somewhat higher.

Looking ahead, for inflation in the eurozone, the only way is currently up. Not a sharp up but a rather moderate and gradual lift. While the knock-on effects of higher energy prices on other prices, like transportation and food, will be hard to avoid, the latest survey-based inflation expectations have come down a bit. Selling price expectations in both industry and services, but also the ECB's own longer-term consumer inflation expectations, all dropped slightly in May. Definitely not enough to give an all-clear but surely sufficient to support our view of only a gradual and limited increase in inflation over the coming months.

Reasons for this view are still the absence of substantial fiscal support against higher energy prices (compared with 2022) and much lower saving ratios than in 2022. In short, the pass-through of higher energy and input prices to final consumption will be limited due to a lack of ability and willingness of consumers to actually pay for these higher prices.

Even as some critics argue the ECB risks repeating its 2022 mistake of reacting too late to an obvious inflation shock, the comparison with that period is flawed – not least in terms of fiscal stimulus and savings. Back in 2022, eurozone inflation was already above 4% YoY when the energy price shock hit. The ECB's infamous late reaction came with the first rate hike in July 2022, when headline inflation was actually above 8% YoY. Also, back then, less than 25% of the main inflation components had an inflation rate of less than 1% YoY. In April this year, it was 50%. And last but not least, the first rate hike in 2022 came from a policy rate of -0.5%. Currently, the policy rate is at 2%.

All of this does not mean that the ECB will not hike rates next week. But it is to say that the current macro environment is very different from 2022 and does not call for any aggressive rate hikes. At least not at the current juncture. Against this background, next week's ECB rate hike should be seen as a kind of insurance rate hike. An insurance rate hike as the risk of doing nothing and potentially falling behind the curve is larger than the risk of any adverse effects on growth from higher interest rates.

As long as the bond market is taking over the ECB's work to tighten the monetary policy stance, governments don't fuel an inflationary spiral with fiscal stimulus, and sentiment indicators remain weak, it's hard to imagine that the ECB would really want to fight an exogenous supply shock at the cost of worsening an economic downturn.

## What to watch at next week's ECB press conference

As a hike to the deposit rate of 25bp (from 2%) looks like a done deal, all focus will be on whether the ECB gives any guidance on what will happen beyond next week's meeting. In this regard, there are three important things to watch at the press conference.

## Fresh round of forecasts

Even though the war in the Middle East has lasted much longer than anyone had anticipated, market variables have not moved in line with the longer duration of the war. Or in other words: oil prices, exchange rates and bond yields are currently trading close to their March levels. Consequently, we don't expect any significant changes to the ECB's new macro projections but see them close to their March levels. If anything, the inflation forecast for this year could be revised somewhat higher; growth could be revised marginally lower. The picture for 2027 and beyond is unlikely to change.

## Communication

When the ECB started hiking rates in 2022, it even pre-announced the hike at the meeting before. Back then, it was obvious that the ECB would have to engage in a series of rate hikes. This time is different. We don't expect the ECB to pre-commit to any next steps on 11 June but to rather stress the meeting-by-meeting approach.

This would not only reflect a cautious but reasonable approach, but also the simple fact that views within the ECB will greatly differ. An insurance rate hike has become a no-brainer, but going beyond that could have more severe adverse effects on growth and will not be that straightforward for all ECB members. This is why we expect the ECB to strike a delicate balance between not calling the hike a 'one-and-done' hike while also stopping short of pre-announcing further hikes. Let's call this a gently hawkish tone.

Boris Vujčić was appointed Vice-President of the European Central Bank earlier this year

## A new man by Christine's side

And for the real ECB followers, don't be surprised if you spot a new man by Christine Lagarde's side at the press conference. Instead of Luis de Guindos, there will be Boris Vujčić, former Croatian central bank governor and now new ECB vice-president, sitting next to Christine Lagarde. With Vujčić, the ECB will again have a president or vice-president with a PhD in economics for the first time since Mario Draghi left office. However, if Vujčić follows the tradition of all his predecessors, we will not witness a lot of his economic wisdom at press conferences, as the speaking time of vice-presidents at ECB press conferences tends to be shorter than your average radio song.

All in all, next week's ECB meeting promises a lot of action: a rate hike and a lot of speculation about next steps.

## Author

**Carsten Brzeski**
Global Head of Macro
carsten.brzeski@ing.de

### Disclaimer

Article | 2 June 2026 FX UNITED KINGDOM UNITED STATES

# Webinar: War, oil, and stagflation – The central bank stress test

Join ING s economists and strategists for a live webinar on 8 June to discuss the widespread fallout of the Iran war and the difficult choices ahead for global central banks. Sign up here


If central banks were hoping for clarity on the Middle East by their June decisions, they're likely to be left bitterly disappointed. Energy prices are down but the Strait of Hormuz remains far from open. Inflation is climbing and with every passing day, supply chains become ever more disrupted. Yet economies, particularly in Europe, are starting to show the strain. The case for rate hikes is far from clear-cut.

Join ING's economists and strategists for a live 45 minute discussion of the forthcoming central bank decisions. You'll learn:

- Why an ECB rate rise looks like a done deal in June – and why this could be a one-off
- The outlook for growth and inflation across the US and Europe
- Whether the Fed could really hike rates this year – and why officials are turning more hawkish
- Why the Bank of England is proving more reluctant to hike rates than the ECB and why a hike is far from guaranteed
- Where EUR/USD could trade over the summer in different oil price scenarios

**Details**

Date: Monday 8 June

Time: 1400 BST/1500 CEST/0900 ET

The webinar will last 45 minutes, including Q&A

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration and you will receive a reminder email 10 minutes before the scheduled start time.

## Author

**Carsten Brzeski**
Global Head of Macro
carsten.brzeski@ing.de

**James Knightley**
Chief International Economist, US
james.knightley@ing.com

**James Smith**
Developed Markets Economist, UK
james.smith@ing.com

**Chris Turner**
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

**Rebecca Byrne**
Deputy Global Head of Editorial and Supervisory Analyst
rebecca.byrne@ing.com

Article | 1 June 2026

COMMODITIES, FOOD & AGRI

# Risks to agri markets look underpriced as Hormuz crisis drags on

Despite talks to reopen the Strait of Hormuz, concerns over fertiliser prices and availability continue to rise, and in our view, agri-commodity markets have not fully priced in these risks. While the impact is likely to be uneven and less severe in Europe, disruption could still build over time, requiring companies to manage supply risks proactively

## Strait of Hormuz closure continues to feed fertiliser concerns

The impact of the conflict in the Middle East on fertiliser and agri markets is probably best described as a tragedy unfolding in slow motion. A major part of global fertiliser and fertiliser feedstock remains exposed. While an extension of the ceasefire could see a resumption in flows, the outlook is likely to remain fragile as a more permanent deal could be challenging to secure.

The global risks were highlighted again recently, with the Food and Agriculture Organization warning of 'the beginning of a systemic agrifood shock that could trigger a severe global food price crisis'. The UN Agency is specifically concerned about countries in Africa and parts of Asia. In our view, the situation is less severe for Europe, although it is clear that risks persist for European companies over the next 12 months. While current market conditions suggest limited risk of an immediate price spike, underlying pressures may still build over time if supply constraints persist.

## Both farmers and policymakers react to fertiliser shock

The key concern is that higher fertiliser prices will reduce usage, which could weigh on crop yields and tighten agricultural supply over time.

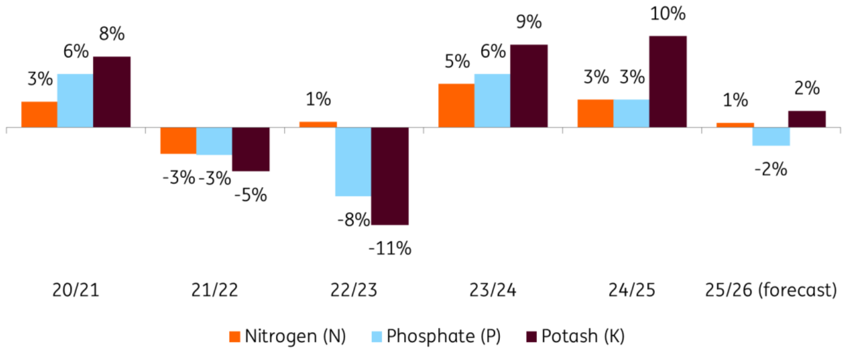
Compared to 2022, fertiliser affordability (the ratio between fertiliser and crop prices) has deteriorated sharply, creating a stronger incentive for farmers to reduce application rates. As a result, the International Fertilizer Association expects usage to decline in the 2026/27 season.

The impact is unlikely to be uniform, however, as farmers use different types of fertiliser to support yields, reproduction and resilience. Previous shocks show that demand for nitrogen-based fertiliser tends to be more inelastic than potash and phosphate.

Also, farmers in developing countries are generally more sensitive to prices, while farmers in developed economies (including the EU) tend to have more options to mitigate the risks.

## Use of nitrogen-based fertilisers is more stable compared to phosphate and potash

Annual change in use

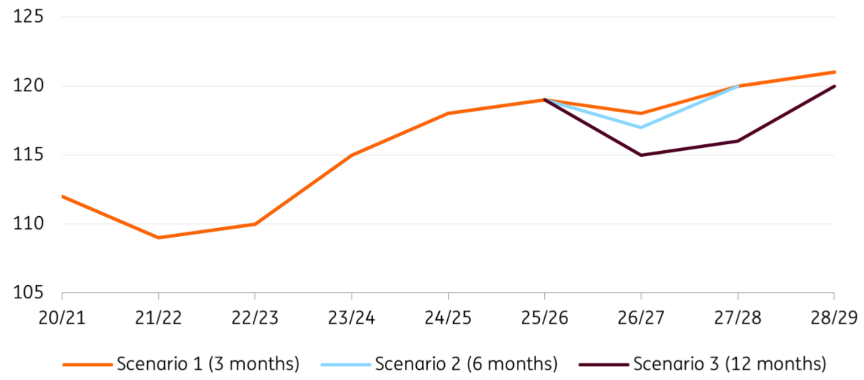



Source: IFA, ING Research

The disruption to fertiliser markets is exacerbated by the implementation of export quotas and restrictions by other major exporters, including Russia and China. That further exposes vulnerabilities in key importing regions like Australia, Brazil, India and the EU. On the other hand, governments in these countries and regions are stepping up their actions to secure supplies for domestic farmers or alleviate part of the cost pressure. The Australian government, which is usually quite market-orientated, has already intervened to secure nitrogen and urea shipments. Meanwhile, the EU recently published its Fertiliser Action Plan, which included commitments to support the most affected farmers.

## IFA expects 1-2% decline in global Nitrogen-based fertiliser if Iran war lasts 3-6 months

Global use of nitrogen-based fertilisers in three scenarios, in million tonnes




Source: IFA, ING Research

## Commodity market fundamentals favourable, for now

For commodity markets, the current geopolitical conditions are clearly negative. However, fundamentals such as supply, demand, stocks and broader economic factors remain more favourable, according to the International Food Policy Research Institute (IFPRI). This helps to limit the likelihood of immediate price spikes compared with previous shocks in 2007, 2010 and 2020.

A number of agri commodities heading into the 2026/27 marketing year are well supplied following strong output in 2025/26 amid record yields. This has left inventories at comfortable levels, helping to ease supply concerns.

The expectation for 2026/27 has been that while markets are expected to tighten (with yields falling back from record levels), they are likely to remain comfortable, suggesting only moderate strength in prices this year.

- Admittedly, US wheat prices have seen more significant strength due to the terrible condition of the domestic winter wheat crop. However, the global wheat market is expected to remain largely comfortable this season, suggesting that the market should see a pullback.
- Our expectation is that the corn market will trade in a largely $4.50-5/bu range through the latter half of the year, with a reduction in area, leading to a year-on-year decline in output, and as a result, tighter global stocks YoY.
- As for soybeans, the increase in area this year and higher output mean that global

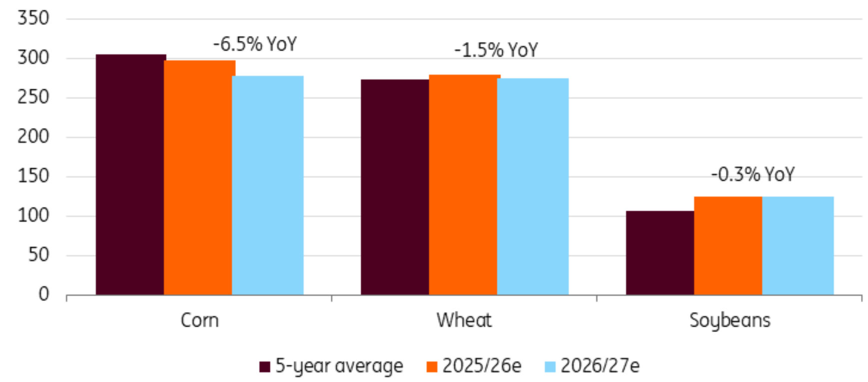
stocks are expected to remain broadly unchanged YoY, suggesting that prices may come under some relative pressure over the latter part of the year. We see soybean prices trading in a largely US$11-12/bu range.

Up until now, forecasts have not taken into consideration the potential impact of more persistent fertiliser shortages. Our forecasts have seen marginal changes since the start of the year. This is partly due to uncertainty over the duration of supply disruptions from the Persian Gulf. Also, while there is a broad relationship between fertiliser consumption and agricultural yields, it is not guaranteed that lower fertiliser usage will hit yields directly. Other variables, such as weather, are also important here.

Essentially, the impact of developments in the Middle East is more indirect and therefore more difficult to gauge in terms of its effect on agricultural prices. This contrasts with 2022, when there was a clear direct impact on agri market supply following Russia's invasion of Ukraine.

## Global corn ending stocks to edge lower in 2026/27, while little change expected for wheat and soybeans

in million tonnes




Source: USDA, ING Research

## Market attention shifts towards Southern Hemisphere

The impact of potential shortages varies across regions. Southern Hemisphere farmers are more vulnerable than those in the Northern Hemisphere. In the Northern Hemisphere, the impact is likely to be more limited, as farmers have already planted their spring crops and pre-booked inputs for the season. As a result, we do not expect any significant changes in crop areas or yields for most of these producers.

The bigger risk is for Southern Hemisphere producers and their winter crops, which are currently being planted. Risks will grow for spring crops (September to December plantings) if fertiliser disruptions persist into the third and fourth quarters of this year. This is particularly the case for key growing regions like South America, which are heavily dependent on fertiliser imports. Brazil, for example, imports in the region of 85% of its fertiliser needs. Obviously, the immediate impact is farmers facing rising prices and tighter margins, but a prolonged disruption could also feed through to physical shortages of fertiliser for Brazilian farmers. Shortages not only pose a risk to yields, but farmers in agri powerhouse Brazil could also decide to shift area from corn to soybeans, given the latter has a lower fertiliser intensity. This would lead to a further tightening in the global corn market, a market which was already set to tighten this year, with farmers in the US increasing soybean plantings at the expense of corn due to pricing dynamics. Given the importance of these crops as input for animal feed, this is something that the feed and animal protein sectors will monitor closely.

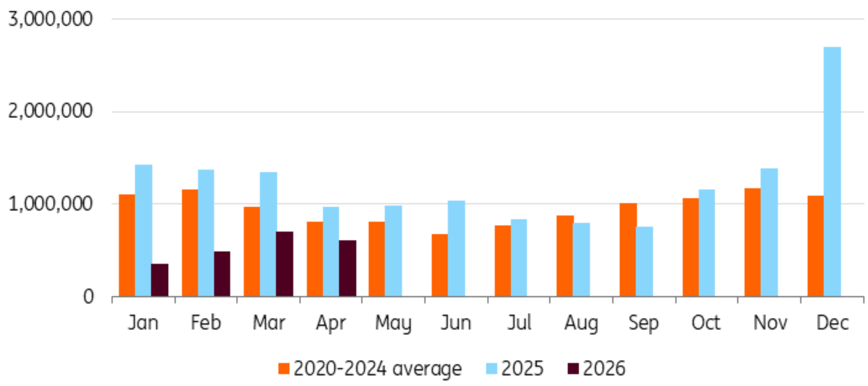
The concern for agri markets is that they are facing this uncertainty at a time when it is looking increasingly likely that we will see an El-Nino weather event this year. The National Oceanic and Atmospheric Administration is forecasting an 82% chance of El-Nino conditions emerging in May-June 2026 and a 96% chance that these conditions will continue through the 2026/27 Northern Hemisphere winter. El Niño can bring challenging weather conditions for some regions, including drier weather across large parts of Asia. In the 2023/24 season, which was an El Niño period, we saw agricultural yields in Brazil negatively impacted. This poses another layer of upside risk to agri prices this year.

## What about the fertiliser situation in Europe?

The EU imports 25%-30% of the nitrogen fertiliser it needs, 35-45% of potash and around 70% of phosphate. There are no immediate concerns around fertiliser availability. Suppliers of nitrogen fertiliser had ample stocks available at the start of 2026 in anticipation of the introduction of higher levies on imported carbon intensive goods (CBAM). Since January, imports have dropped, meaning that companies have been drawing down inventories. In terms of domestic production, recent market data shows that production of nitrogen fertiliser has been relatively stable since the start of the Iran war. European producers have seen gas prices increase but selling prices of fertiliser products have also improved, meaning margins remain positive. Meanwhile, imports of phosphate have remained relatively stable.

## EU started 2026 well supplied as nitrogen-based fertiliser imports spiked ahead of new carbon related levy

Imports of ammonia and nitrogen-based fertilizer in tonnes




Source: European Commission, ING Research

## The impact on EU crop farmers - several factors soften the blow

For crop farmers, fertiliser is a key input. In the EU, it typically accounts for about 15 to 20% of total production costs. Fertiliser prices have been highly volatile in recent years because the market is very exposed to geopolitical developments. In response, many farmers tend to lock in prices ahead of the season, either individually or through groups such as cooperatives, meaning that the fertiliser that's being used on the fields today was often bought at pre-war prices.

For now, this is helping to cushion the blow, but the longer fertiliser prices remain elevated, the more farmers will be exposed to higher market prices. Meanwhile, higher fuel costs, which account for roughly 5% of total production costs, are passed through more quickly, adding to both actual and expected cost pressures. Any increase in agricultural commodity prices would help to reduce pressure on farmers' margins. While the situation will vary across producers, the roughly 10% increase in EU wheat prices since the onset of the war suggests that margin pressures may be less severe than initially feared, as higher output prices are helping to offset rising input costs.

## Key risks and how to deal with them

The key supply chain risks for food & agribusinesses linked to the current energy and fertiliser shock are more skewed towards the second half of 2026 and first half of 2027.

1. **Financial stress and consolidation.** Greater financial pressure on farmers reduces their

ability to invest in equipment and makes them more price-conscious when buying farm inputs. Over the medium to long term, the ongoing pressure on profitability along with an ageing farmer population act as drivers for consolidation in the farming sector.

2. **Tighter supply and higher input costs.** Companies sourcing from farmers are likely to face growing pressure to pay higher prices for agricultural products as input costs rise. There is a clear risk that prices of agricultural inputs will exceed initial projections, particularly if a strong El Niño reduces yields and triggers a supply shock.
3. **Rising working capital requirements.** Higher prices would increase working capital needs for businesses. This is not an immediate risk, but one that companies could start to prepare for over coming quarters.
4. **Greater market volatility.** Increased volatility in markets leaves agribusinesses facing a more challenging environment. Firms can address this by creating more certainty through hedging their exposure. This could include inputs (fuel and fertiliser) as well as outputs and could be in the form of hedging in derivative markets or through securing longer-term supply/offtake agreements.
5. **Policy and export restriction risk.** Restrictions on exports of key food commodities become more likely if lower fertiliser application rates tighten domestic food supplies towards the end of the year. This could prompt governments to protect domestic supply and contain inflation. To mitigate risks, procurement teams could review supply chains for over-reliance on staple crops from specific countries. Imports from India, for example, carry higher risk given its history of protectionist measures.

## Export restrictions are still mainly focused on energy and fertilisers not on food

| Sector | Number of policy actions |
|---|---|
| Energy | 131 |
| Fertilizers | 39 |
| Food | 14 |

Source: FAO, ING Research

Taken together, while current market conditions remain supportive and limit the likelihood of a 2022-style price spike, fertiliser-related risks are likely underappreciated given their delayed and difficult-to-quantify impact. Rather than an immediate shock, the pressure is more likely to build gradually, feeding through higher input costs, lower application rates and, ultimately, tighter supply.

For food and agribusinesses, this points to a more uncertain outlook beyond the near term, with risks increasingly concentrated in late 2026 and into 2027 as supply constraints, volatility and policy responses begin to materialise.

## Author

**Thijs Geijer**
Senior Sector Economist, Food & Agri
thijs.geijer@ing.com

**Warren Patterson**
Head of Commodities Strategy
Warren.Patterson@ing.com

### Disclaimer

Article | 29 May 2026 FX

# USD/JPY: Largest quarterly intervention since 2004

The Japanese Ministry of Finance has today released FX intervention figures for the period of 28 April to 27 May. It confirms that the Bank of Japan sold JPY11.735tr (around $74bn). This will mark the largest quarterly FX intervention since 2004. It s an impressive figure, but unless oil or US rates turn dramatically lower, USD/JPY will stay bid

## Sizable intervention

Figures released by Japan's MoF earlier today confirm that the BoJ undertook JPY11.735tr of FX intervention in the 28 April to 27 May window. That intervention likely started on 30 April, driving USD/JPY from above 160 to below 156 and was followed up potentially over the next four trading sessions.

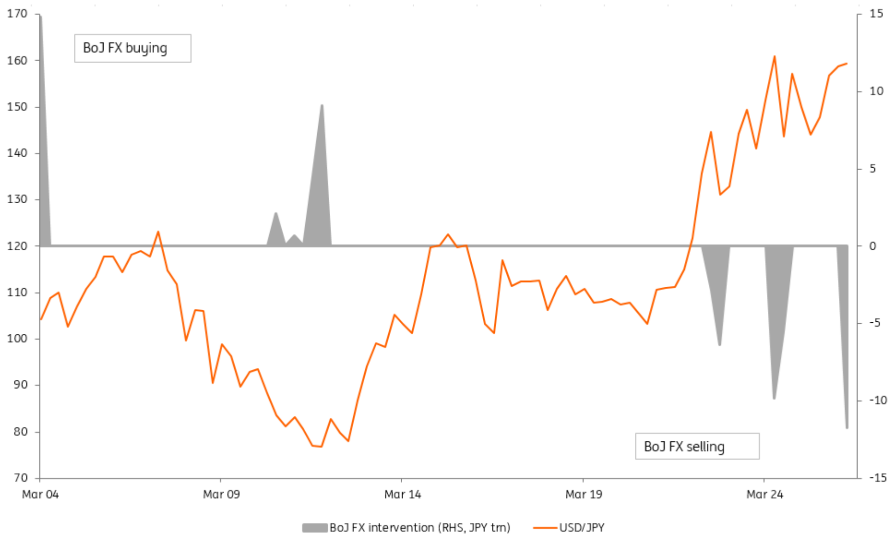
The size confirmed today is large. In fact, looking at the quarterly intervention figures, one has to go back to 2004 to see any activity as large in a single quarter.

Back in early 2004, the BoJ was intervening almost daily in an effort to keep USD/JPY above 100 at a time of a prevailing dollar bear trend – this after the Federal Reserve had cut its policy rate to 1.00% after the dot-com bubble burst.

Since then, FX intervention has been more modest and less frequent.

In fact, there is some speculation that Japanese policymakers feel constrained by the IMF's FX regime classification system. More frequent intervention – beyond three 'instances' in a six-month period – could see Japan''s FX regime re-classified as 'floating' instead of 'free floating' – which would be more in line with regimes in Brazil and Chile than Japan's G7 peers.

## BoJ FX intervention versus USD/JPY




Source: Japanese Ministry of Finance, ING

## Policymakers will struggle to turn the tide

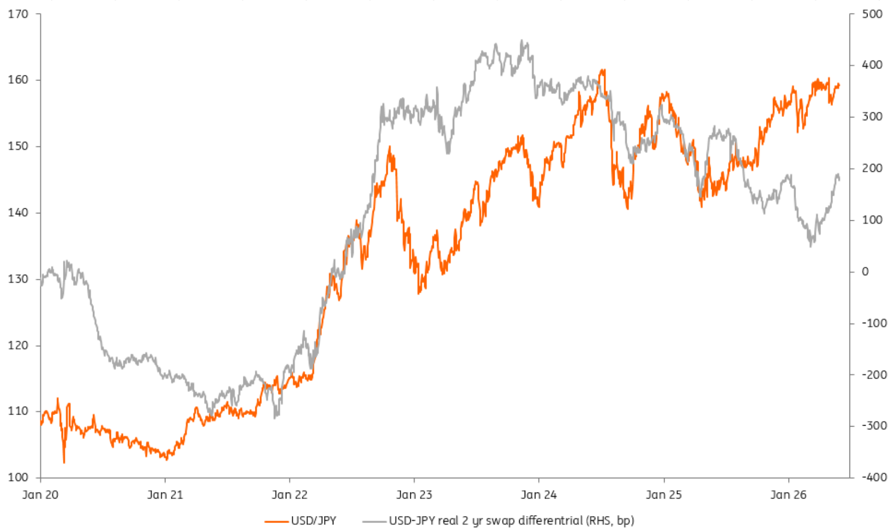
With USD/JPY already trading back near 160, it is hard to make the case that this year's Japanese FX intervention has been effective. Back in 2024, FX intervention was a success because the speculative market was heavily short yen and US rates were turning lower ahead of a Fed easing cycle starting that September.

Today, the speculative market is far less short yen and if anything, the Fed could be swinging behind a hike for its next move rather than a cut. Our call is that the BoJ will likely be called into action again over coming months as USD/JPY pushes through 160 again. This also has implications for US Treasuries, as Japanese authorities appear to sell Treasuries to finance FX intervention. Japanese holdings of US Treasuries fell around $100bn in 2024 – roughly consistent with FX intervention amounts that year. Remember as well that FX selling operations are finite and limited by the size of FX reserves. Japan has large reserves at over USD1tr, but will not want to lose 20-30% of them.

Unless the BoJ can somehow get 'ahead of the curve' and drive real interest rates higher, it is hard to see the USD/JPY situation changing over coming months. ING is looking for a BoJ rate hike on 16 June (now priced with a 78% probability), but the BoJ will have to deliver a very hawkish hike to reverse the recent shift in real interest rate differentials against the yen. That would somehow require the BoJ to manage expectations of a policy rate (now 0.75%) heading above 1.50% next year – which might be difficult in the current political environment.

Until then, we expect USD/JPY to stay bid near 160 over coming months and possibly push into the 162/163 area. Our call for 155 by year-end very much relies on US consumption stalling and the Fed reconsidering rate cuts. That is increasingly looking like a story for later in the year and the near term focus will be on the growing Fed hawkishness.

## Real interest rates keep USD/JPY supported




Source: ING calculations

## Author

**Chris Turner**
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

### Disclaimer

Article | 4 June 2026 CZECH REPUBLIC

# Favourable Czech inflation sharpens focus on June CNB meeting

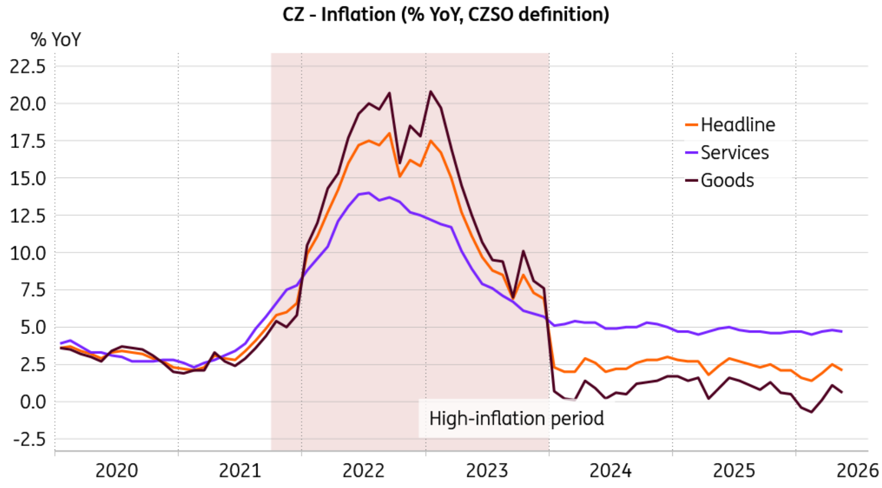
Czech inflation slowed in May, with headline, core, services and goods measures all softening. Recent hawkish signals from the Czech National Bank have prompted the market to price in a June hike. We take the view that the Bank should deliver a hawkish hold and wait to see the impact of the Hormuz shock. But a hike cannot be ruled out


We expect policymakers to remain in wait-and-see mode at the CNB's 18 June meeting, with more hawkish commentary likely to materialise

## Headline and core inflation slow down

Czech headline inflation slowed to 2.1% in May, coming in below market expectations but in line with the Czech National Bank's spring forecast. Core inflation is estimated to have eased to 2.8%, in line with both ING and CNB expectations. Annual price dynamics of both goods and services slowed down in May. The foodstuffs segment showed a twofold dynamic, with processed food prices remaining benign while unprocessed food prices recorded both monthly and annual increases, pushed up by elevated energy prices.

## Headline inflation is close to the target




Source: CZSO, Macrobond

## Wage dynamics also punchy due to revisions

Annual wage dynamics quickened to 8.1% in the first quarter of 2026, delivering an increase of 6.4% in real terms. That said, the wage level throughout 2024-25 was revised downward. This brings the 1Q26 wage level roughly in line with our expectations, despite stronger quarterly and annual dynamics following the revisions.

In any case, wage dynamics represent a substantial input to CNB's decision function, with solid wage growth potentially justifying tighter monetary policy. Nevertheless, the employment rate in the 15-64 age group remained unchanged over the year despite solid economic expansion. Unemployment increased from the previous year, including the long-term component. Businesses are looking for employees with different skills than those available in the free labour force, and this long-lasting mismatch is deepening with the advent of new technologies.

## Waiting for uber-hawkish comments to adjust

With headline inflation close to the target, softening core inflation along with price dynamics in the service sector, we still see no change to the policy rate as the right answer to the current state of the Czech economy and the outlook. Continued tensions surrounding the Strait of Hormuz may still prompt weakness in the global economy and waning demand for Czech exports – likely materialising in the second and third quarters – alongside dwindling preliminary indicators and subdued real GDP figures. Given the mismatches in the labour market, another bleak period for manufacturing would result in a rise in the unemployment rate; the services sector seems largely saturated when it comes to further absorption of the free labour force.

Yet, in light of the latest hawkish comments from CNB board members, a June hike certainly cannot be ruled out – particularly as factors like ample wage growth or signs of an overheating economy could be used to justify such a move. We take the position that the CNB isn't currently under pressure to tighten the monetary policy setup. To wait and gain a thorough understanding of the full impact of recent geopolitical developments on economic activity and the labour market is something of a luxury worth taking advantage of. At this point, we await further commentary, with forward guidance set to serve as a subtle but powerful art in what's likely to be a lively CNB meeting. In short, no change to rates remains our base case – although we are ready to adjust our view should a more decisively hawkish tone emerge.

## Author

**David Havrlant**
Chief Economist, Czech Republic
420 770 321 486
david.havrlant@ing.com

### Disclaimer

Article | 4 June 2026 FX

# FX Daily: Re-escalation and data make USD sole winner

The dollar has found broad-based support after US-Iran military re-escalation and data that keeps pointing to US economic resilience. It's hard to find the trend in this environment. One week ahead of the ECB meeting, we see increasing risks of a hawkish hike, but lack of progress in the Middle East might take EUR/USD to 1.150 before then

USD gains broad support on Iran re‐escalation and resilient US data

## USD: Stronger and stronger

It's hard to argue against dollar strength at this juncture. Data continues to paint a picture of resilience for the US economy – ADP payrolls and ISM services were both firm yesterday – and fresh US-Iran military exchanges have driven a risk-off shift in global markets. Yesterday's House resolution to end the war is meaningful, but it doesn't block new military operations. It highlights domestic pressure for a peace deal, but markets already understand this, and it has not yet translated into tangible progress in negotiations.

The US data calendar is quieter today before tomorrow's jobs report. Some focus will be on Challenger job cuts data for May or weekly jobless claims only if they show a meaningful acceleration. The Fed's Beige Book released yesterday signalled a steady outlook for employment despite inflationary pressures.

A few dollar crosses are attempting to make decisive breaks away from key psychological levels. EUR/USD at 1.160, USD/JPY at 160.0, USD/CAD at 1.390. We think those breaks will come unless the next few days bring renewed optimism from the Middle East. The 100 mark in DXY looks within reach in the current environment.

*Francesco Pesole*

## EUR: Looking down

Our macro team has published an updated preview of next week's ECB meeting. The call is unchanged and fully aligned with consensus and pricing: a 25bp hike. Our view is that the ECB will err on the hawkish side to keep at least one additional hike priced in and to safeguard inflation expectations.

Still, a week is a long time in the current environment. By the time the ECB delivers, a lack of progress in the Gulf may already have dragged EUR/USD back to 1.150.

Yesterday's upward revision in the eurozone's composite PMIs offered little reassurance to EUR bulls, which remain vulnerable to a deteriorating domestic outlook and softer global risk sentiment whenever hopes for a peace deal are pushed further out.

*Francesco Pesole*

## BRL: FX plays catch-up with rates

The stronger US rate/dollar environment is starting to prove a headwind for some of the more popular emerging market plays, including the Brazilian real carry trade. USD/BRL is back to challenging last month's highs near 5.08 and could be looking to fill a gap back to the 5.14 area. Beyond the strong dollar environment, the local story sees President Lula's approval ratings continue to widen over Flavio Bolsonaro and Brazil having to deal with the renewed threat of 25% US tariffs.

In reality, however, it looks as though the Brazilian real is catching up with the local interest rate market, where short-dated rates have been selling off since late last week. At the start of the year, the market had been pricing the BACEN's policy rate down at 12.50% from a 15.00% starting point. Now investors are considering the next BACEN move (off a 14.50% policy rate) to be a hike.

Barring a massive spike in US yields and the dollar, which is not our baseline scenario, we expect the BRL to find good support on any dips given its high yield and net energy exporter status. Maybe the correction to 5.14 will be sufficient.

*Chris Turner*

## CEE: Inflation may decide CNB June rate hike

The Czech Republic will release its May inflation figures today, and we expect some easing from 2.5% to 2.3%, in line with market expectations. Core inflation should also ease slightly from 2.9% to 2.8%. The CNB had expected 2.1% for May in its forecast, but April was already 0.1pp above the forecast. Core inflation was in line with the CNB's expectations, and it is also expecting 2.8% for May. However, food inflation in the Czech Republic has been an outlier with a decline in previous months and it is not clear where it is heading in May, with Poland and Germany showing declines compared to the previous month.

The print should receive more attention than usual given the hawkish repricing, with the market expecting a full rate hike in June from the CNB after several comments from the bank board. We would therefore expect the market to be more sensitive to downside surprises than upside surprises at this point given the hawkish pricing. EUR/CZK is testing levels below 24.200 as we discussed here yesterday, and CPI should decide the next direction today whether we settle below this level or not.

The governor of the National Bank of Poland yesterday gave a dovish tone after inflation surprised down on Friday last week. The current situation does not require rate hikes for now, according to the governor, but he is leaving the door open if oil prices jump up or the government lifts fuel price caps. But we also heard mention of slow wage growth and stable FX as reasons to wait. Our baseline remains no change in rates for a longer period. The zloty has seen less pressure to weaken but remains in the same range of 4.225-265 without a big story here.

*Frantisek Taborsky*

## Author

**Frantisek Taborsky**
EMEA FX & FI Strategist
frantisek.taborsky@ing.com

**Francesco Pesole**
FX Strategist
francesco.pesole@ing.com

**Chris Turner**
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

## Disclaimer

Article | 4 June 2026 COMMODITIES DAILY CZECH REPUBLIC

# The Commodities Feed: Dwindling oil inventories leave market increasingly vulnerable

Oil prices remain tightly bound to events in the Middle East. Without a normalisation of regional oil flows, the market is increasingly exposed to sharp upward swings as inventories continue to thin

## Energy - US crude inventories continue to decline

Re-escalation in the Persian Gulf pushed oil prices higher yesterday, with fresh attacks once again casting doubt over a resumption of energy flows through the Strait of Hormuz. There also appear to be mixed messages about the progress in negotiations between the US and Iran. President Trump says talks are moving in the right direction; Iranian media reports that no tangible progress has been made. News that Israel and Lebanon agreed on a ceasefire could potentially open the door for talks to advance. Iran has been adamant that any ceasefire with the US is dependent on a halt in fighting in Lebanon. Every day that passes without a resumption of oil flows leaves the market increasingly vulnerable. This increases the pressure to strike a deal.

Inventories have provided a cushion for the oil market. However, even if we see an imminent restart of oil flows through the Strait of Hormuz, the recovery will be slow and gradual. This suggests inventories are likely to continue to tighten into the third quarter, leaving upside risk to prices. This ties in with comments from Kuwait Petroleum, which said it would take 6-8 weeks to get Kuwaiti output back to 70% of normal levels once the strait reopens. Then, it would take another month for output to return to normal.

Weekly inventory numbers from the EIA show that US commercial crude oil inventories fell by 7.97m barrels over the last week. This leaves the total inventory draw over the last month and a half at 32m barrels. While inventories do fall seasonally as refiners ramp up operating rates, the pace of decline has been faster than usual. When taking into consideration releases from the strategic petroleum reserve, total crude inventories fell by 15.97m barrels over the last week. Refined product inventories increased over the week, with gasoline and distillate fuel oil stocks increasing by 3.36m barrels and 1.5m barrels, respectively. It was largely driven by weaker domestic implied demand.

Positioning data for TTF continues to show that investment funds have been somewhat unfazed by ongoing LNG supply disruptions in the Middle East amid optimism over a resumption of LNG flows through the Strait of Hormuz. Funds sold 17.9TWh in TTF last week, leaving them with a net long of 262.2TWh. Clearly, this leaves a fair amount of upside risk if we do not see an imminent resumption of LNG flows.

## Metals – Copper drops back below $14,000/t

Copper retreated on Wednesday, pulling back from a three-week high, as rising US-Iran tensions shifted focus to demand risks. LME copper fell back below $14,000/t after gaining around 3% over the previous two sessions.

Despite ongoing supply risks, concerns over weaker global growth, higher energy costs and inflation weighed on sentiment. The move also reflects profit-taking after the recent rally, driven by expectations of tighter supply ahead of potential US import tariffs.

Separately, the US adjusted its metals tariff framework. It maintained elevated tariffs on certain copper products while tightening coverage across downstream goods. At the same time, rules of origin were eased. The threshold for qualifying as a US-origin metal lowered from 95% to 85%, making it easier for importers to access preferential treatment. The scope of tariffs was also broadened to include additional semi-fabricated products such as electrical conductors and cables, extending protection further into manufacturing supply chains. Market attention is now shifting to the ongoing review of refined copper imports. Any additional duties could have a more material impact on US supply dynamics, given the strong reliance on imported refined metal.

Market fundamentals remain broadly supportive, with tariff-driven trade distortions and structural demand linked to electrification and grid investment. However, the near-term price direction is likely to remain sensitive to macro risks, with uncertainty in the Middle East acting as a headwind.

In precious metals, gold saw central banks return to net buying in April, with purchases of around 17 tonnes following net sales in March, according to the World Gold Council. Poland remained the largest buyer, adding 14 tonnes and bringing year-to-date purchases to 45 tonnes. The People's Bank of China extended its buying streak to 18 consecutive months, adding 8 tonnes - its largest increase since December 2024. The Czech Republic maintained its accumulation strategy, purchasing 3 tonnes in April and taking total additions to 8 tonnes so far this year.

In contrast, Russia remained a net seller, reducing holdings by 6 tonnes in April. This marks a fourth consecutive month of net sales, with total divestment reaching 22 tonnes year to date.

## Agriculture – Arabica coffee drops on ample supply projections

Arabica coffee prices declined for a fourth consecutive session, reaching their lowest level since November 2024. The drop reflects expectations of a record 2026/27 harvest and global surplus. Brazil's CONAB recently raised its arabica production forecast to 45.8m bags (+28% year‑on‑year), up from 44.1m bags previously.

## Author

**Warren Patterson**
Head of Commodities Strategy
Warren.Patterson@ing.com

**Ewa Manthey**
Commodities Strategist
ewa.manthey@ing.com

### Disclaimer

Article | 3 June 2026

RATES SPARK

# Rates Spark: Spread exposures

Geopolitics, via oil-driven volatility and hawkish central bank repricing, have left eurozone bond spreads wider, with Italy hardest hit. Retreating oil prices alone might not be enough to alleviate the pressure if the ECB begins to worry more about second-round effects

## Geopolitics have left eurozone bond spreads wider and falling oil prices may no longer ease the pressure

Geopolitics continue to drive volatility and as conflicting signals dampen hopes for a quick solution to the conflict, oil prices have drifted higher, closer to the US$100/bbl threshold again.

The resulting market volatility and more aggressive central bank pricing also feeds into bond spreads. In eurozone government bond spreads, Italian spreads have suffered the most. The 10y spread over German Bunds had peaked towards 95bp by the end of March before easing lower to now stand at just above 70bp, still more than 10bp above levels observed just before the turmoil. Less impacted have been French spreads, but they also sit around 6bp wider compared to before the crisis.

If we model the countries' 10y OIS spreads since the end of January by just taking oil prices as input, we can already explain 83% of the Italian spread dynamic. Oil alone also explains close to 70% of French spread dynamics, but only about 23% of Spain's. That, of course, is reflective of how much these economies are exposed to higher energy prices. Italy is reliant on gas imports, especially from the conflict region, while France is regarded as shielded to some extent by its higher nuclear energy share.

We also see consensus 2026 GDP forecasts for Italy having been revised lower by around 0.3% to now 0.5% since the start of the crisis. We see a revision of similar magnitude for France, though, by 0.3% to 0.7%, whereas Spain has seen only a marginal downward revision to still stand at around expected 2.2% growth for this year. Deficit revisions since the crisis hit have been smaller, also given that fiscal responses overall have been quite limited in scale so far, with overall debt levels already strained in many cases.

Our view is that downward potential for oil prices, even in a more benign outcome, remains limited in the near term, with average prices still around US$90/bbl by the end of the year. Alongside some normalisation in central bank pricing, that would give Italian spreads some 7bp of tightening potential and France a bit more than 2bp. It wouldn't change the picture for Spain in the simple model. Here we would expect any tightening to come via the lower market volatilities and improving risk sentiment in general.

However, oil and central bank pricing have for now shared a very similar dynamic, linked by inflation. If the crisis drags on, dynamics could still drift apart when the ECB increasingly contemplates second-round effects, even without energy prices necessarily rising much further. That could leave the likes of Italy still more exposed, not just in an escalation scenario.

## Thursday's events and market view

From the eurozone we'll get retail sales numbers from April, for which consensus sees the growth decelerating from 1.2% to 0.3% year-on-year. More interesting could be the US Challenger jobs numbers and jobless claims. Any signs of weakness in the jobs markets could have markets preposition for the all-important US non-farm payrolls number on Friday. The European Central Bank's quiet period will also start in anticipation of next week's (11 June) monetary policy meeting.

For supply, Spain will auction 3y, 5y, 15y SPGBs, and a 14y SPGBei for a total of €6.25bn. France will auction new 10y, 12y, 16y and 31y OATs for a total of €14bn.

### Author

**Benjamin Schroeder**
Senior Rates Strategist
benjamin.schroder@ing.com

Article | 3 June 2026 POLAND

# National Bank of Poland's governor says the current level of interest rates is adequate

The current level of interest rates is sufficiently high to stabilise inflation, and the risk of rate hikes has declined, according to National Bank of Poland Governor Adam Glapinski. A holding pattern is now the most likely scenario. Our baseline scenario continues to assume no changes to interest rates at least until the end of 2026


Poland's central bank governor Adam Glapinski

## Background to June policy decision

Commenting on the factors behind the Monetary Policy Council's decision, central bank governor Adam Glapinski noted that inflation declined to 3.1% year-on-year in May and remains within the range of acceptable deviations from the target. Inflation is being pushed up by higher fuel prices, reflecting the rise in oil prices in response to the conflict in the Middle East. At the same time, the NBP governor noted that in recent weeks, expectations of a peace agreement have strengthened, and oil prices have eased somewhat.

Glapinski reiterated that the increase in oil prices constitutes a strong supply-side shock to the economy and its scale depends on external factors, beyond the influence of monetary policy. On the one hand, it boosts inflation both directly (through higher fuel prices) and indirectly (via rising business costs). On the other hand, it dampens real income growth, increases uncertainty and weakens economic activity.

## Economic conditions

Commenting on domestic economic conditions, the NBP governor noted that despite solid growth in 1Q26 (3.5% YoY), which was clearly stronger than in the euro area, the economy slowed compared to 4Q25, when it expanded by 4.1% YoY. Moreover, full-year GDP growth in 2026 is likely to be lower than expected a few months ago and slower compared to last year.

## Inflation and monetary policy outlook

According to the NBP, the inflationary impact of the Middle East conflict is smaller than previously feared and clearly weaker than during the 2021–22 energy crisis. Labour market conditions are less tight, and the rise in oil prices is not accompanied by significant supply chain disruptions (except for fuel). Additionally, interest rates are higher than at the onset of the previous energy shock and are positive in real terms. At the same time, the PLN exchange rate remains stable.

Glapinski also highlighted that wage growth continues to slow, which is favourable from an inflation perspective. In 1Q26, wage growth in the economy moderated again, while wage growth in the corporate sector in April was the lowest in five years.

In the central bank's assessment, inflation should remain moderate, and Poland's inflation situation is relatively favourable compared to other countries and better than previously feared. In the governor's view, the May inflation reading – significantly below expectations – has reduced the risk of rate hikes. A discussion on interest rate hikes could emerge only if fuel prices were to rise persistently and the government were to withdraw measures aimed at stabilising them.

## Summary

Glapinski's diagnosis of the Polish economy can be summarised as:

1. “Slightly elevated inflation”,
2. “A modest weakening of economic growth”
3. “Decelerating wage growth”

The NBP governor emphasised that real interest rates are positive and at an appropriate level to stabilise inflation. In his view, there is currently no reason to change interest rates. Steady policy remains the most likely outcome, and future MPC decisions will depend on incoming data.

The NBP communication is consistent with our baseline scenario, which assumes that interest rates would remain unchanged at least until the end of 2026.

## Author

**Adam Antoniak**
Senior Economist, Poland
adam.antoniak@ing.pl

**Mateusz Sutowicz**
Senior Economist, Poland
mateusz.sutowicz@ing.pl

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